

There are different ways governments can raise revenue, the money taken in taxes. This can be a proportion of the money a person earns from work— income tax—or that a business takes in profits, paid directly to the government. Other forms of direct tax are based on the amount of property, or wealth, a person owns. Direct taxes such as income tax are often progressive, so that the more money a person has, the larger proportion of it he or she pays in tax. There is also indirect taxation, such as an amount added to the price of goods and services. These taxes are criticized as unfair, as they are regressive, poor people pay a bigger proportion of their income on sales taxes than rich people.

**IN THIS WORLD NOTHING CAN
BE SAID TO BE CERTAIN, EXCEPT
DEATH AND TAXES.**

BENJAMIN FRANKLIN, US POLITICAL THEORIST

A heavy burden

While most people agree with the idea of paying toward public services, taxes are seen as a burden. Economists who favor free markets argue that everything but essential services can be provided by private businesses, and that high taxes interfere with the market. US economist Alex Laffer argued that since lower taxes encourage businesses, governments have more revenue than if they impose a high tax rate. More left-wing economists argue that markets need some form of regulation, and taxes remove some of the unfairness of a free market.